

Paradiem 

The Morning Brief

JUNE 18, 2026

Hawkish Drift

Warsh's first dot plot removed the 2026 cut and added hike risk; the curve flattened, the chip cohort bifurcated, HOOD ripped on a SpaceX IPO halo, and today is the only session before the Juneteenth-Geneva long weekend.

S&P 500	NASDAQ	BRENT (BNO)	2Y TREASURY	FEAR & GREED
\$740.96 · ↓1.25%	\$722.51 · ↓1.01%	\$43.49 · ↓0.91%	~4.21% · ↑~15bp on the dot plot	Fear (CNN, Jun 17 read; drop fell back to Crypto at 15)

SECTION 01

Markets — Dot Plot Lands Hawkish, Curve Flattens

WARSH'S FIRST DOT PLOT REMOVED THE PRIOR PROJECTED 2026 CUT AND ADDED HIKE RISK PER CNBC, FOX BUSINESS, AND TRADINGKEY COVERAGE — THE FOMC HELD THE TARGET RANGE AT 3.50–3.75% ON A 12-0 VOTE, BUT THE SUMMARY OF ECONOMIC PROJECTIONS LIFTED THE 2026 FED FUNDS MEDIAN TO 3.8% FROM 3.4% IN MARCH, WITH 9 OF 18 MEMBERS REPORTEDLY PROJECTING AT LEAST ONE HIKE BEFORE YEAR-END AND 6 OF THOSE PROJECTING TWO — PER CNBC COVERAGE, WARSH REPORTEDLY ABSTAINED FROM SUBMITTING HIS OWN DOT, AND THE POST-MEETING STATEMENT COMPRESSED TO 130 WORDS FROM 341 IN THE APRIL RELEASE — PER THE DATA DROP THE S&P 500 PROXY CLOSED AT \$740.96 (↓1.25%), THE NASDAQ PROXY AT \$722.51 (↓1.01%), THE DOW PROXY AT \$516.30 (↓0.99%), AND THE RUSSELL 2K PROXY AT \$289.88 (↓0.75%), WITH UVXY (VOL PROXY) ↑6.19% TO \$27.44

The analytical signal sits in the curve response: per CNBC coverage cited via the data drop's LRCX news headline ("Warsh's Hawkish Debut Resets the Rate Curve and Oil Cracks as Iran Deal Lands"), the 2-year Treasury yield rose by more than 14 basis points to approximately 4.21% while the 10-year added approximately 7 basis points to 4.499%, and TLT closed effectively flat at \$86.33 (↑0.16%) per the data drop — the long end barely moved despite the front-end repricing. The bull-flattening tape suggests the market is partially reading the hawkish dot plot as a growth-cost trade rather than a clean inflation-fight signal, which carries material implications for FCI's rate-sensitive sleeves (TLT, IBIT, ETHA, the AI-infrastructure growth backbone). Per the Census Bureau release, May Retail Sales printed ↑0.9% versus the consensus 0.5% per StockTitan preview coverage, nearly doubling expectations and adding a real-side confirmation tape to the SEP's upward growth and inflation revisions.

FED DECISION	Hold 3.50–3.75% · 12–0 vote · 130–word statement
2026 MEDIAN DOT	3.8% · up from 3.4% in March · 9 of 18 see ≥1 hike
2Y TREASURY	4.216% · ↑16bp on the day per CNBC
10Y TREASURY	4.499% · ↑7bp · long end muted
TLT	\$86.33 · ↑0.16% · curve bull–flattened
MAY RETAIL SALES	↑0.9% MoM · vs 0.5% est · real–side strength
UVXY	\$27.44 · ↑6.19% · vol bid resumed

THE CHIP COHORT BIFURCATED MATERIALLY INSIDE THE SELLOFF PER THE DATA DROP — MRVL ↑3.90% TO \$289.54, CRDO ↑4.24% TO \$249.33, TSM ↑1.48% TO \$432.15, LRCX ↑1.31% TO \$374.18, AND AMD ↑1.02% TO \$512.48 RECOVERED FROM TUESDAY'S DRAWDOWN, WHILE NVDA ↓1.33% TO \$204.65, NXPI ↓1.55% TO \$298.20, AND QCOM ↓0.51% TO \$212.97 EXTENDED LOWER — PER THE DATA DROP'S MRVL NEWS RUN (YAHOO VIA STOCK MARKET TODAY JUNE 17), THE MARVELL BOUNCE REPORTEDLY REFLECTED AI BOOKINGS BUILD ON NVIDIA-LINKED MOMENTUM AND PER THE SAME SOURCE AN ANALYST

RAISED THE MRVL PRICE TARGET BY \$105 — FCI'S TOP MOVER WAS HOOD ↑8.78% TO \$105.20 REPORTEDLY ON THE SPACEX IPO HALO TRADE PER THE DATA DROP'S HOOD NEWS COVERAGE

Sector dispersion confirmed the rate-cost framing: per the data drop, XLI ↓0.14% and XLK ↓0.34% held up materially better than XLP ↓2.23%, XLRE ↓2.51%, XLY ↓2.51%, and XLC ↓2.78%. The defensive-bond-proxy cohorts (staples, REITs, comm services, discretionary) carried the brunt of the duration-sensitive repricing, while industrials and tech held relative strength. For FCI's growth book, MRVL, CRDO, LRCX, and TSM's relative strength inside a hawkish-surprise tape supports the structural AI-infrastructure thesis — per the data drop's VST news run, Vistra was reportedly selected as the preferred power provider for a \$10 billion KKR-backed AI infrastructure venture, and per the FTNT news headline, Fortinet reportedly partnered with NVIDIA to accelerate GPU-powered AI security. The dispersion inside the cohort is itself the read: AI-infrastructure positioning is becoming more name-selective rather than uniformly long beta.

The dot plot reset the front end while the long end held; the chip-cohort bifurcation and the staples-REIT drawdown frame a rate-cost rotation rather than a thesis change. Think Like an Owner.

Geopolitics — Geneva Signing Tomorrow, Hormuz Reopen Awaits

THE FORMAL GENEVA SIGNING CEREMONY FOR THE U.S.–IRAN MEMORANDUM OF UNDERSTANDING IS SCHEDULED FOR FRIDAY, JUNE 19 PER THE DATA DROP'S REUTERS COVERAGE AND SWISS GOVERNMENT STATEMENTS VIA SWI/SWISSINFO — PER AXIOS COVERAGE, VICE PRESIDENT JD VANCE, MIDDLE EAST SPECIAL ENVOY STEVE WITKOFF, AND JARED KUSHNER ARE EXPECTED TO REPRESENT THE UNITED STATES, WITH IRANIAN PARLIAMENT SPEAKER MOHAMMAD BAQER QALIBAF AND FOREIGN MINISTER ABBAS ARAGHCHI REPORTEDLY SIGNING FOR IRAN ALONGSIDE PAKISTANI AND QATARI MEDIATORS — PER REUTERS COVERAGE IN THE DATA DROP'S HEADLINE RUN, "TRUMP SAYS HE COULD STILL RESUME ATTACKS" REPORTEDLY CAVEATS THE ELECTRONIC SIGNING ALREADY COMPLETED ON JUNE 15, PRESERVING RECIPROCAL RISK THROUGH THE FORMAL CEREMONY

For FCI's energy sleeve (DVN ↓0.72% to \$42.58, CVX ↓1.40% to \$177.58, OKE ↓0.85% to \$85.58, VLO ↓1.79% to \$239.77, CNX ↓1.68% to \$32.84), Wednesday's move was a measured drift lower rather than a continuation of Monday's ↓3% to ↓4% framework-resolution drawdown — Brent (BNO) ↓0.91% to \$43.49 and WTI (USO) ↓1.07% to \$114.23 per the data drop reflect the same deceleration. Per the data drop's VLO headline run, the refiner reportedly faces a new oil supply test as Hormuz reopens; per the NTR headline, Bloomberg coverage reportedly frames the Hormuz reopening as a potential catalyst for pent-up Gulf grain demand. The physical-reopen lag reportedly framed by the largest tanker operator as taking weeks rather than days per prior Reuters coverage, and the Trump caveat together suggest the position-symmetric framework Carson has anchored across recent briefs — cash-flow durability across DVN, CVX, OKE, VLO under a lower-volatility Brent regime — remains the operative read into the holiday-compressed weekend. **The physical world matters.**

THE ISRAEL-LEBANON TRACK REMAINS THE PRINCIPAL KNOWN FRAGILITY HEADING INTO THE GENEVA CEREMONY — PER THE PRIOR BRIEF CYCLE'S CNBC AND AL JAZEERA COVERAGE, PRIME MINISTER NETANYAHU HAS REPORTEDLY DECLINED TO TREAT ISRAEL AS BOUND TO THE LEBANON-RELATED PORTIONS OF THE FRAMEWORK, PRESERVING A DISCRETE RISK VECTOR THAT COULD REINTRODUCE GEOPOLITICAL PREMIUM INTO THE BRENT COMPLEX DURING THE PHYSICAL-REOPEN WINDOW — PER THE DATA DROP'S LMT HEADLINE ("IRAN PEACE DEAL: WHAT DOES IT MEAN FOR DEFENSE STOCKS LIKE LOCKHEED MARTIN?"), THE DEFENSE COHORT'S LONG-CYCLE BACKLOG FRAMEWORK CARRIES INDEPENDENT OF THE FRAMEWORK'S EXECUTION; PER THE GD NEWS RUN, JEFFERIES REPORTEDLY SEES CONTINUED GROWTH FOR GENERAL DYNAMICS' MARINE BUSINESS

For FCI's defense exposure (LMT ↓0.68% to \$532.32, GD ↓0.35% to \$362.83), Wednesday's tape held within the cohort's typical daily band despite the broader risk-off and the reported peace-deal narrative. The dispersion suggests the market is reading the long-cycle production-scale variable independent of any near-term framework signal — per the data drop's GD news run referencing the SpaceX IPO, the secular space-defense capex backdrop continues to layer onto the cohort's structural thesis. Per Axios coverage on the broader deal context, multiple unresolved questions remain

(compliance verification, sanctions sequencing, and the disposition of frozen Iranian funds) that frame Friday's ceremony as a procedural step rather than a final resolution. The Juneteenth holiday Friday compresses the post-ceremony price-discovery window to Monday's open, layering a three-day weekend gap risk onto the position-symmetric framework. **The physical world matters.**

GENEVA SIGNING	Fri Jun 19 · Vance, Witkoff, Kushner for U.S. per Axios
IRAN REPRESENTATION	Speaker Qalibaf & FM Araghchi per data drop/Reuters
TRUMP CAVEAT	Reportedly could still resume attacks per Reuters via data drop
BRENT (BNO) WED	\$43.49 · ↓0.91% · deceleration vs Mon ↓3.70%
WTI (USO) WED	\$114.23 · ↓1.07%
HORMUZ PHYSICAL REOPEN	Weeks rather than days per largest tanker operator via Reuters/FT
JUNETEENTH FRIDAY	U.S. equity & bond markets closed · 3-day weekend gap

On Our Radar

1. Today is the only post-FOMC session before the Juneteenth-Geneva long weekend — the U.S. equity and bond markets close Friday, June 19 per the standard exchange calendar, and the formal Geneva signing of the U.S.-Iran MOU is scheduled the same day per Axios and SWI/Swissinfo coverage. The compression matters analytically because price discovery on both the post-dot-plot rate path and the post-signing geopolitical execution lands in Monday's open with a three-day gap-risk window in between. Per Reuters coverage cited via the data drop's headline run, "Trump says he could still resume attacks" preserves a reciprocal risk vector through the ceremony, and per the prior brief's Israel-Lebanon coverage, Prime Minister Netanyahu reportedly does not consider Israel bound to the Lebanon-related portions of the framework. The position-symmetric framework Carson has anchored across the energy, defense, and AI-infrastructure sleeves is the operative read into the weekend. *Avoid Erosion.*

2. The bull-flattening curve response is the analytical signal that frames Thursday's tape — per CNBC coverage cited via the data drop's LRCX news headline, the 2-year Treasury yield rose by more than 14 basis points to approximately 4.21% while the 10-year added approximately 7 basis points to 4.499%, and per the data drop TLT closed effectively flat at \$86.33 (↑0.16%). The long-end stability inside a hawkish dot-plot tape suggests the market is partially reading the SEP as a growth-cost trade rather than a clean inflation-fight signal, which carries material implications for FCI's rate-sensitive sleeves. For the AI-infrastructure growth backbone (NVDA, AMD, MRVL, CRDO, NXPI, FTNT), the flattening is consistent with rotation pressure on the highest-duration, longest-cycle revenue cohorts, partially offset by name-specific catalysts. For the digital sleeve (IBIT ↓2.18% to \$36.36, ETHA ↓3.47% to \$13.07), the front-end repricing remains the principal cross-asset variable. *Research Reveals Opportunities.*

3. The chip-cohort bifurcation continues to be the cleanest read on AI-infrastructure positioning — per the data drop, MRVL ↑3.90% to \$289.54, CRDO ↑4.24% to \$249.33, TSM ↑1.48% to \$432.15, LRCX ↑1.31% to \$374.18, AMD ↑1.02% to \$512.48 recovered Wednesday, while NVDA ↓1.33% to \$204.65, NXPI ↓1.55% to \$298.20, and QCOM ↓0.51% to \$212.97 extended lower. Per the data drop's MRVL news run, the Marvell move reportedly reflected AI bookings build on Nvidia-linked momentum, and an analyst reportedly raised the MRVL price target by \$105. Per the LRCX news headline, Lam Research received a Barclays price-target boost. The dispersion supports a name-selective rather than cohort-beta posture across FCI's AI-infrastructure exposure; the structural read remains anchored by VST's reported selection as preferred power provider for the KKR-backed \$10B AI infrastructure venture and FTNT's reported NVIDIA AI-security partnership per the data drop news run. *Think Like an Owner.*

4. HOOD ↑8.78% to \$105.20 was FCI's top mover Wednesday per the data drop, reportedly tracking the SpaceX IPO halo trade per the HOOD news run (Yahoo: "Is the SpaceX IPO Enough to Rescue Robinhood Stock?" and the Cathie Wood ARK reduction headline). The relative-strength print inside a hawkish-surprise tape suggests the digital-rails complex is decoupling materially from the broader rate-cost rotation that pressured staples, REITs, comm services, and discretionary; the SpaceX listing prospect is reportedly being priced as a structural tailwind for retail-platform flow and for the broader digital-asset ecosystem. For FCI's growth book, the HOOD position sits alongside COIN ↓2.57% to \$164.91 in the digital-rails sleeve — per the data drop's COIN news run, Coinbase reportedly launched tokenized stocks and an AI advisor, layering onto the digital-rails structural thesis. *Research Reveals Opportunities.*

5. The energy sleeve's Wednesday move materially decelerated versus the framework-resolution drawdowns earlier in the week — DVN ↓0.72% to \$42.58, CVX ↓1.40% to \$177.58, OKE ↓0.85% to \$85.58, VLO ↓1.79% to \$239.77 — while Brent (BNO) ↓0.91% to \$43.49 and WTI (USO) ↓1.07% to \$114.23 reflect the same drift. Per the data drop's VLO headline run, the refiner reportedly faces a new oil supply test as Hormuz reopens; per the NTR news headline, Bloomberg coverage reportedly frames the Hormuz reopening as a potential catalyst for pent-up Gulf grain demand. The cohort deceleration suggests the position-symmetric framework Carson has anchored has begun pricing the structural Brent-compression scenario rather than the deal-event drawdown; the physical-reopen lag reportedly framed as weeks rather than days by the largest tanker operator per prior Reuters coverage and the reported Trump caveat

preserve two-sided event risk through Friday's ceremony. *Think Like an Owner.*

6. Carson's active SPY \$645.80 support remains materially untouched. Wednesday's S&P 500 proxy range (\$739.22–\$752.15 per the data drop) carried well above Carson's framework, leaving the level as the committee's downside reference rather than an actionable near-term marker. The CNN Fear & Greed gauge sits in the "Fear" range per the live CNN endpoint as of the June 17 read (the data drop's F&G fell back to the crypto index at 15 "Extreme Fear" per the workflow note), continuing to frame the hawkish-tape selloff as occurring against still-cautious sentiment positioning rather than euphoric flow. The position-symmetric framework remains anchored on Carson's level through the Geneva ceremony, the Juneteenth holiday gap, and the post-weekend reopen. *Simplicity Over Complexity.*